



Team-based structure

As its name implies, a team-based organization (TBO) is made up entirely of teams. Managers and staff from different departments join to form teams handling specific projects, in the short or long term.

How it works

In a TBO, teams reach decisions through brainstorming and mutual agreement among team members, rather than a senior management member issuing orders from the top down the chain of command as in a traditional organizational structure. Communication is less formal in TBOs, often carried out on social media such as blogs and forums and using software for networking such as Groupware.

One step beyond the team-based structure is a holacracy (*see box, right*), an unconventional type of organization in which there are no managers, and even the CEO relinquishes power, allowing employees to self-govern through regular committee meetings, which they organize themselves.



NEED TO KNOW

- **Cascading** Successful passing of information or objectives down through the workforce
- **Lateral structure** Decentralized structure in which departments work to a common goal
- **Flat lattice** Structure with no chains of command, in which workers choose to follow leaders

Team-based hierarchy

While TBOs still have a CEO, little other hierarchy exists. Team leaders are part of the team rather than in a chain of command. At its best, a team-based model fosters a culture of trust, so individuals take pride in their work and responsibility for carrying out tasks well and on time and budget.

